International Business Simulation: Market Entry

Summary Results for Year 6

Desi Cuisine International

Home Country: Germany

Review results from Desi Cuisine International below, then analyze the performance per country.

Go to the **Welcome** page to start a new game.



Feedback:

The game is finished!

Well done, you achieved the cumulative profit target of $100 million over the 6 years of the game. You can play again to improve your results or apply your international business skills in the real world.

- Now that trade barriers have fallen, it may have been beneficial to return to global sourcing in markets that are not far from your home country.
- Your business is performing well. Keep up the good work.

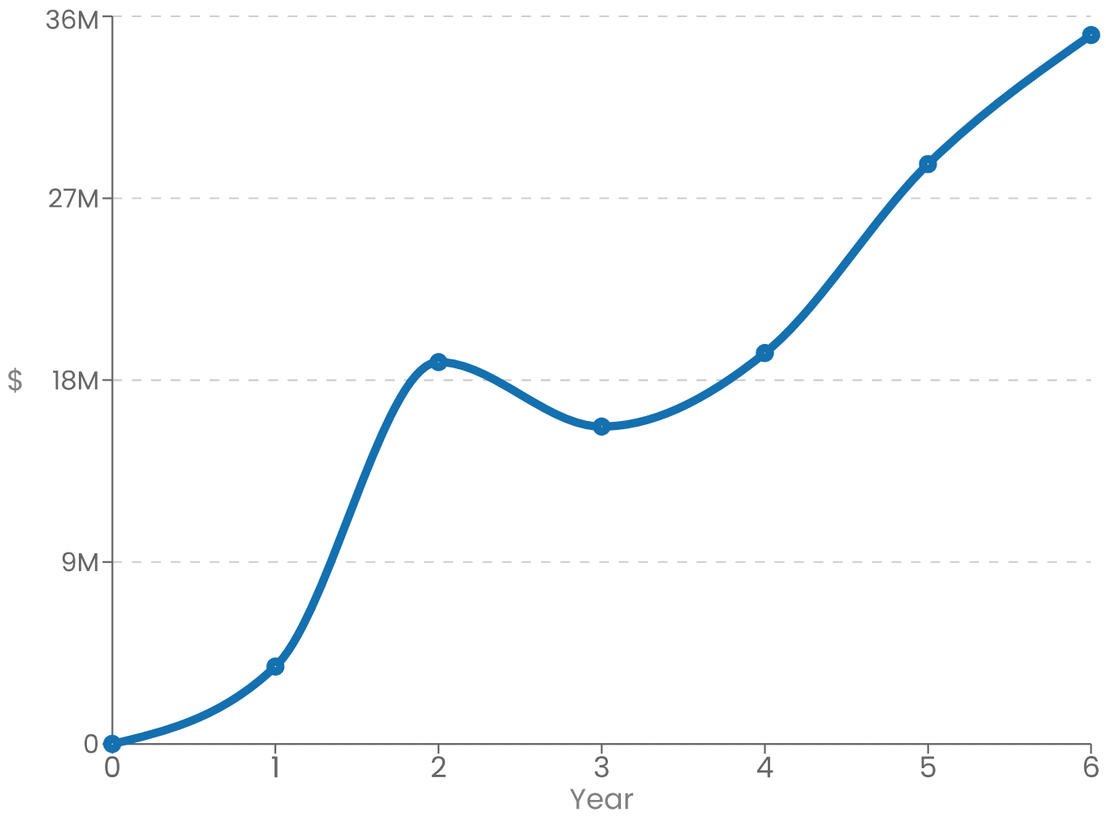
Decisions Overview

The table below provides an overview of location and entry mode decisions made during the game.

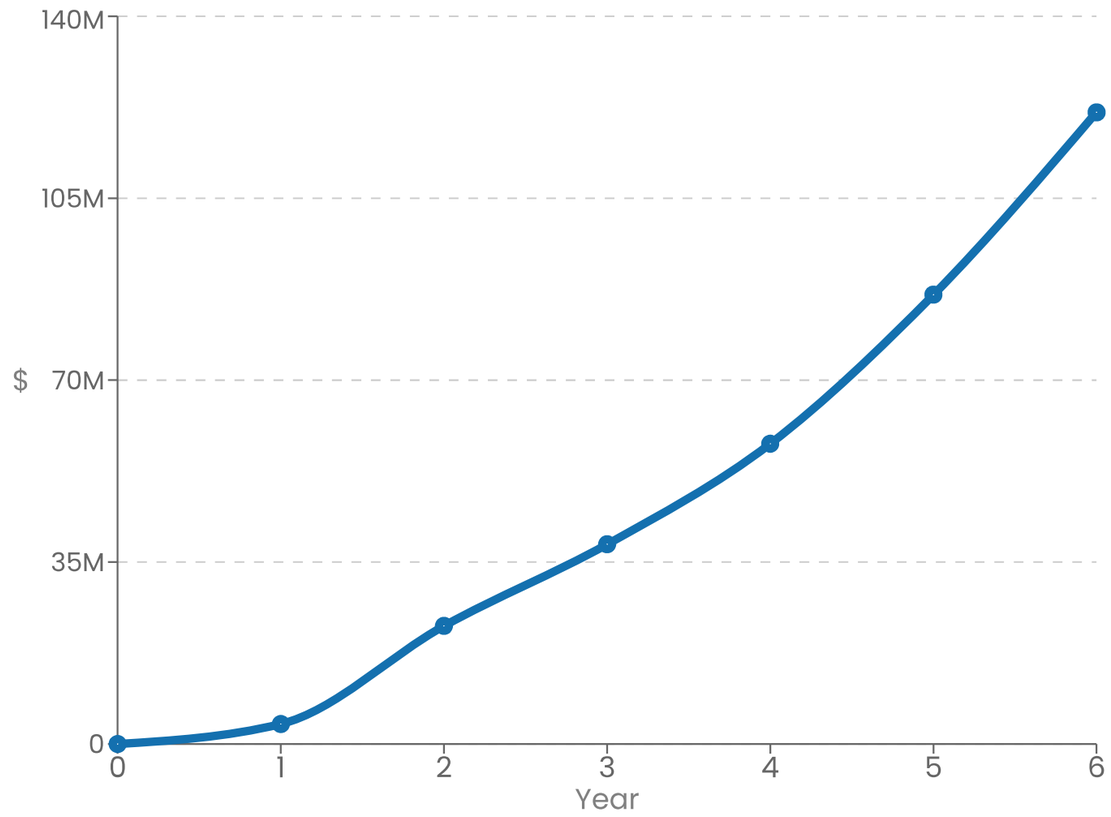
Country	Entry Mode	Growth	Status	Year Opened
Canada	Wholly Owned Subsidiary	Yes	Active	1

Country	Entry Mode	Growth	Status	Year Opened
France	Wholly Owned Subsidiary	Yes	Active	1
United Kingdom	Wholly Owned Subsidiary	Yes	Active	1

Operating Profit (Annual) ($)



Cumulative Operating Profit ($)



Profit by Country ($)

Year	0	1	2	3	4	5	6
Canada	0	1,255,176	5,310,484	3,731,279	4,119,968	7,910,889	11,664,987
France	0	1,280,193	8,070,263	8,172,362	8,930,877	9,679,829	11,708,569
United Kingdom	0	1,291,588	5,511,798	3,800,954	6,291,076	11,100,486	11,703,724

Year	0	1	2	3	4	5	6
Total Profit	**0**	**3,826,958**	**18,892,546**	**15,704,595**	**19,341,922**	**28,691,204**	**35,077,279**
Cumulative Profit	**0**	**3,826,958**	**22,719,504**	**38,424,099**	**57,766,021**	**86,457,225**	**121,534,504**

Copy to Clipboard

Profit by Ownership Type ($)

Year	0	1	2	3	4	5	6
Franchising	0	0	0	0	0	0	0
Joint Ventures	0	0	0	0	0	0	0
Own Outlets	0	3,826,958	18,892,546	15,704,595	19,341,922	28,691,204	35,077,279
Total	**0**	**3,826,958**	**18,892,546**	**15,704,595**	**19,341,922**	**28,691,204**	**35,077,279**

Copy to Clipboard

Income Statement ($)

Year	0	1	2	3	4	5	6
Revenues (Own & JV)	0	14,526,763	39,936,674	36,597,817	46,153,113	65,257,463	68,645,566
Franchise Revenues	0	0	0	0	0	0	0
Total Revenue	**0**	**14,526,763**	**39,936,674**	**36,597,817**	**46,153,113**	**65,257,463**	**68,645,566**
Entry, Opening & Growth Costs	0	2,250,000	500,000	0	500,000	500,000	0

Year	0	1	2	3	4	5	6
Variable Costs	0	4,324,805	11,299,128	10,453,222	14,446,192	20,686,259	17,028,287
Promotion Expenditure	0	375,000	495,000	440,000	615,000	630,000	540,000
Fixed Costs	0	3,750,000	8,750,000	10,000,000	11,250,000	14,750,000	16,000,000
Total Costs	**0**	**10,699,805**	**21,044,128**	**20,893,222**	**26,811,192**	**36,566,259**	**33,568,287**
Operating Profit	**0**	**3,826,958**	**18,892,546**	**15,704,595**	**19,341,922**	**28,691,204**	**35,077,279**

Copy to Clipboard

© Sim Institute